COMMERCIAL INCENTIVE PROGRAM

Make the CIP easy to run, easy to trust — and a reliable bridge from GROW 2030 to leader behaviour

A 90-day operating hypothesis: run the machine first, improve the logic second, scale the model third.

1 RUN IT
Reliable data-to-payout

2 IMPROVE IT
Better logic & behaviour

3 SCALE IT
Simpler ownership & automation

Lars Glade · October 2026

EXECUTIVE SUMMARY

A CIP only steers behaviour if leaders trust the numbers — so the first 90 days stabilise the cycle and build a fact base before any redesign

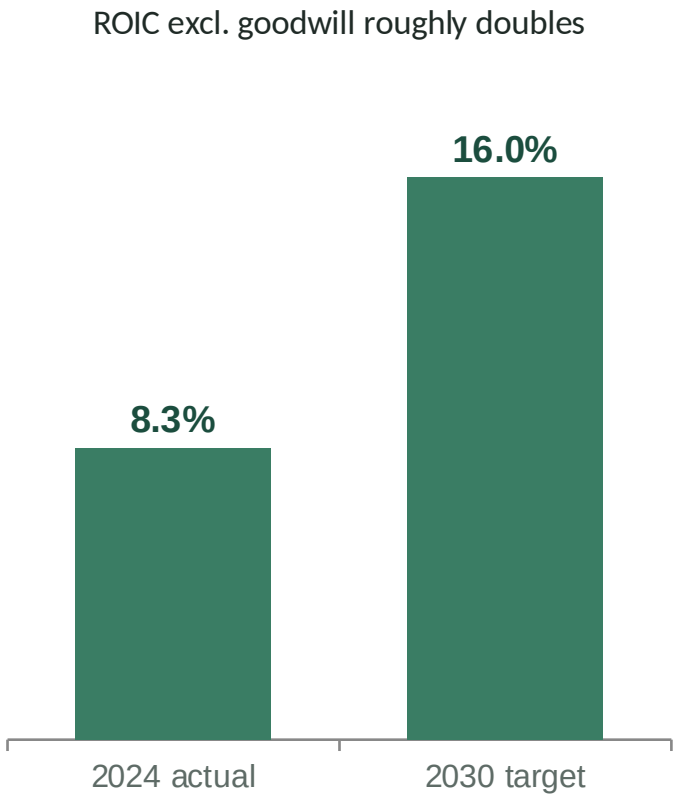
SITUATION	GROW 2030 asks ~400 leaders to deliver 6–9% organic growth, ~39% adj. EBITDA margin and to roughly double ROIC excl. goodwill (8.3% in 2024 → ~16%). The CIP is the main mechanism that translates these targets into leader behaviour.
COMPLICATION	An incentive plan works only when leaders trust the numbers and see their own influence in them. Manual adjustments, late payouts, disputes and post-close negotiation erode both — and a plan that is not trusted is not followed.
ANSWER	Run it, then improve it, then scale it. In 90 days: a controlled data-to-payout cycle, a fact-based baseline and a prioritised improvement backlog. Design changes are made between cycles, on evidence.
WHAT I NEED	Access to last cycle's data, exception and dispute logs · named counterparts in P&O/Reward, Commercial and Data & Analytics · agreement that the live cycle is protected.

GROW 2030 creates value only if growth comes with returns above the cost of capital — the CIP must pay for both, not for growth alone

6–9%
Organic sales growth CAGR to 2030

~39%
Adj. EBITDA margin by 2030

~16%
Adj. ROIC excl. goodwill by 2030 (8.3% in 2024)



Value logic

Economic profit = Invested capital × (ROIC − WACC)

Growth adds value only when ROIC exceeds the cost of capital. Growth below it destroys value faster.

Implication for CIP design

- Reward growth with a return guardrail
- Reward margin without cutting protected spend
- Judge ROIC against approved capital plans

Source: Novonesis company announcement, 20 Aug 2025 – "2030 financial targets announced" (GROW strategy).

Leaders rationally optimise what the plan pays for — five predictable behaviours need rules agreed before the year, not negotiated after it

The design tension

Enterprise alignment
Group economics, shared success
Risk: weak individual influence

Line of sight
Outcomes the leader can influence
Risk: local optimisation

Pay for what leaders can influence — without losing the group outcome.

Predictable behaviour	Economic damage	Guardrail
Negotiate soft targets	Payout without performance	Calibrate against prior performance, budget logic and agreed benchmarks
Cut R&D / maintenance	EBITDA up today, growth down tomorrow	Multi-year measures and protected-spend rules
Defer capex	ROIC flattered short term	Assess against approved capital plans and decision rules
Shift cost across BUs or periods	Zero-sum — no group value created	Group / end-to-end measures; consistent allocation rules
Lobby for "one-off" adjustments after close	Plan becomes negotiable; trust erodes	Pre-agreed adjustment rules, applied both ways; every exception logged

RUN IT

Every material number must be traceable from approved source to payout — one controlled path with five explicit control points



1	2	3	4	5
SOURCE	**OWNERSHIP**	**CALCULATE**	**REVIEW**	**PAYOUT**
Approved data	Clear rules	Controlled logic	Exceptions / sign-off	Right first time
Control question Is the input approved and reconciled to finance?	**Control question** Is every rule and input owned by a named person?	**Control question** Is the logic version-controlled and reproducible?	**Control question** Is every exception logged, justified and signed off?	**Control question** Is payout correct, on calendar, without later correction?

CONTROL PRINCIPLE

Protect the live cycle. Improve the architecture between cycles — unless a material control issue requires action now.

GOVERNANCE

Finance runs the machine and owners keep their mandates — the role orchestrates decisions, it does not absorb decision rights

Function	Owns	Role of Finance / CIP PMO
Finance / CIP PMO	Cycle, calendar, calculations, controls	Runs the machine end to end
People & Organisation / Reward	Plan architecture, policy, reward principles	Feeds evidence into design choices
Commercial / Business	Performance, target inputs, actions	Secures timely, owned inputs
Data Insights & Analytics	Data flows, reporting, automation	Specifies requirements and controls
Leadership / Governance	Material trade-offs, approvals, escalations	Prepares decisions — never pre-empts them

CIP Forum

Small, monthly, fact-based

See → Understand → Unblock → Commit → Follow through

- Facts before positions
- Interfaces before blame
- Escalate decisions, not conflicts

Output: action log, decision / escalation log, closed-loop learning into CIP design.

Forum mechanics: see appendix.

FIRST 90 DAYS

The first cycle is a measurement, not a redesign — improvement targets are set on a verified baseline, not on assumed benchmarks

DAY 1–30
Baseline & map
Process and data lineage mapped; owners confirmed; last cycle measured

DAY 31–60
Fix controls & handovers
Quick control fixes; calendar and sign-off path agreed

DAY 61–90
Set evidence-based targets
Baseline signed off; prioritised backlog; targets for next cycle

Hypothesis to test	Baseline metric	How it is verified
H1 A material share of payouts needs manual intervention	% of payouts with manual adjustment	Exception log, last full cycle
H2 Cycle time is driven by handovers, not by calculation	Days from close to approved payout, per step	Process map with timestamps
H3 Disputes cluster on a few root causes	Disputes: count, ageing, root cause	Coding of dispute log
H4 Post-payout corrections signal data-ownership gaps	Count and value of corrections	Reconciliation against source

No numbers are assumed: each hypothesis is confirmed or rejected on Novonesis data before targets are set.

PROOF FROM PRACTICE

I have seen results-only incentives reward people for what they inherit — the same risk exists for leaders who inherit a strong market

Topdanmark / If: performance and bonus logic, cross-functional lead governance

01 DIAGNOSE	Results-only logic over-rewarded sellers who inherited the best leads.
02 DESIGN	Activity and diligence became explicit performance parameters; leads routed by realistic potential.
03 ALIGN	A Lead Forum connected insight, channels, customer service, retention and sales.
04 MEASURE	Churn in selected high-value customers fell from ~18% to ~12%; ~DKK 200m retained.

The bridge to CIP

Seller with the best leads = BU leader with a market tailwind

- Measure against realistic potential, not raw outcome
- Include what the leader controls, within group guardrails
- Make cross-functional interfaces explicit and owned

Pay for what people can influence — not what they inherit.

WHAT I DON'T KNOW YET

Five unknowns could derail the first cycle — each has a named mitigation inside the 90-day plan

Unknown / risk	Why it matters	Mitigation
Data quality and lineage of current inputs	Unreliable numbers undermine trust in every payout	Map lineage and reconcile in day 1–30, before any change
Decision rights between Finance, P&O and Commercial	Stalled decisions and blame at payout	Confirm ownership with each function in the first 30 days
Pressure to redesign during a live cycle	Control failure and payout errors	Change only between cycles unless a material control issue arises
Automating unstable processes	Locks in errors at higher speed	Automate only once controls are stable and measured
My own learning curve on Novonesis systems and CIP history	Slower diagnosis in the first weeks	Lean on process owners; operator first, designer third

WHAT YOU GET AFTER 90 DAYS

Operator first. Diagnostician second. Designer third.

A controlled cycle

One path from approved data to right-first-time payout

A verified baseline

Manual adjustments, cycle time, disputes, corrections, data quality

A prioritised backlog

Design and automation changes ranked on evidence, for the next cycle

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The forum does not own decisions — it owns the discipline of getting to a decision, before, in and after the room

BEFORE

- Consolidate exceptions and disputes
- Confirm one version of the facts
- Name the interface at stake
- Pre-wire owners

IN THE ROOM

- Resolve what can be resolved
- Assign owner and due date
- Escalate only material decisions

AFTER

- Publish action and decision log
- Track ageing to closure
- Feed recurring root causes into CIP design

A good forum makes itself less necessary over time — measured by friction disappearing, not by meetings held

Open disputes
Count and ageing

Time to resolution
Median days

Repeat issues
Same root cause recurring

Escalations
Share needing a senior decision

Payout impact
Corrections / delays linked to interfaces

Baseline first, then targets. Expected direction once the mechanism works: fewer recurring disputes, faster resolution, clearer handovers — less noise at payout and more trust in the program. If the baseline shows interface friction is not material, the forum stays light or is not set up.